

The government debt market

When a country spends more money than it takes in, the result is a budget deficit, which creates national debt. Sometimes, the US national debt is referred to as “the deficit,” although debt and deficit are not the same thing.

The national debt

The national debt is the result of the US government borrowing money to cover years of operating with a budget deficit. When there is a deficit, the US has to borrow the money by selling Treasury securities to the public. For instance, selling savings bonds and Treasury bills. All of this becomes part of the debt.

The national debt in early October 2016 was over \$19.5 trillion. The debt grows larger every second due to the interest owed. The interest paid on the debt in 2015 was \$402 billion.

Handling a budget this way is similar to a consumer charging items to a credit card, and when the bill comes due borrowing to pay part of the balance. Now, they have a balance and loan accruing interest.

The national debt does impact consumers. It increases the cost of living and slows the economy. Issuing Treasury securities is one way to produce a revenue stream that can be used to fund budget deficits, specific projects, unemployment benefits, or whatever is needed at the time.

Government securities

A government security is a bond that is issued by the government. There is a promise of repayment when the bond matures. Examples of other securities are Treasury Bills, Treasury Bonds, and savings bonds.

US Savings bonds are appealing to some because they have a fixed (but low) interest rate for a period of time. But they must also be held for a minimum of 12 months. Savings bonds can be redeemed (return of the investor's principal in a fixed-income security) after the 12-month period. However, redeeming the bond during the first five years results in a three-month interest penalty.

There are two different types of savings bonds: Series EE and Series I bonds. The Series EE bonds pay a fixed rate. The Series I bonds earn interest from a combination of a semiannual inflation rate and a fixed rate.

Rates for savings bonds are set on May 1 and November 1 each year. As of May 2, 2016, Series EE bonds earn an annual fixed rate of 0.10 percent. The Series I bond earns a composite rate of 0.26 percent (a portion is indexed to inflation every six months). Both types have an interest-bearing life of 30 years.

Clearly, no one gets wealthy by investing in savings bonds, but they used to be a popular gift. This is one way the government borrows money from the public.

The government also issues many other types of securities including Treasury Bonds (T-bonds), Treasury Bills (T-bills), and Treasury Notes (T-notes). T-bonds mature in 10 to 30 years. T-notes are called intermediate-term bonds because they mature between one year and 10 years but not more than 10 years from the issue date. T-bills have maturities of less than a year. Treasury bonds and notes pay a fixed rate of interest semiannually.

Floating Rate Notes (FRNs) and TIPS

A Treasury FRN has a price that is determined by auction. They have a term of two years and they can be bought in multiples of \$100.

An FRN has an interest rate that “floats” over the life of the security. The rate is the sum of an index rate and a spread. FRNs are indexed to the highest accepted discount margin of the most recent 13-week Treasury Bill. The spread will stay the same until maturity. Interest rate is applied to the par amount of the FNR every day. Interest is paid quarterly.